MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Unless otherwise noted, the section references to (i) "us", "our", "we", "the Company" and "YUM" refer to YUM! Brands, Inc. and its consolidated subsidiaries, (ii) "the Parent" refers to YUM! Brands, Inc., on a stand-alone basis, (iii) "the Issuers" refers to KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC, which are direct wholly-owned subsidiaries of the Parent and co-issuers of $750 million of 4.75% Senior Notes due 2027 (the "Subsidiary Senior Unsecured Notes") and co-borrowers under the Credit Agreement, as defined in our annual report on Form 10-K for the year ended December 31, 2021 filed with the SEC (the "2021 10-K") on February 22, 2022; (iv) "the Specified Guarantors" refers to collectively Yum Restaurant Services Group, LLC, Restaurant Concepts LLC and Taco Bell Corp. (including their subsidiaries except for Taco Bell Funding, LLC and its special-purpose, wholly owned subsidiaries), which are directly wholly-owned subsidiaries of the Parent and guarantors of the Subsidiary Senior Unsecured Notes and under the Credit Agreement; (v) "the Companies" refers to collectively the Issuers and the Specified Guarantors, (vi) "the Taco Bell Securitization Entities" refers to collectively Taco Bell Funding, LLC, a Delaware special purpose limited liability company and wholly owned subsidiary of Taco Bell Corp, and its special-purpose, wholly owned subsidiaries, (vii) "the Habit Entities" refers to collectively The Habit Restaurants, Inc., The Habit Restaurants, LLC, HBG Franchise, LLC, and Habit Employment, L.P. and (viii) the "Restricted Group" refers collectively to the Companies and their subsidiaries, other than the Taco Bell Securitization Entities which will not be subject to the covenants under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement, and also excludes the Parent and ABR Insurance Company which will not be subject to such covenants as well.

This discussion should be read in conjunction with the Condensed Consolidated Financial Statements ("Financial Statements") and the section "Management's Discussion and Analysis of Financial Condition and Results of Operations" contained in our quarterly report on Form 10-Q for the quarter ended March 31, 2022 as filed with the SEC on May 10, 2022 (the "First Quarter 10-Q") and contains additional information related to the pro forma results of operations and financial condition of the Restricted Group. None of the financial information in this discussion has been audited or reviewed by our auditors. This discussion has been prepared and posted to our website in accordance with our reporting obligations under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement. You should read the following Restricted Group's pro forma results of operation and financial condition together with the information included in our 2021 10-K, especially the information under the heading "Risk Factors".

Pro Forma Results of Operations for the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities and the exclusion of the Habit Entities (until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group) as well as the exclusion of Parent Entity Expenses from the Restricted Group.

(in millions)	Quarter ended		
	2022	2021	% B/(W)
Company sales	$ 470	$ 355	33
Franchise and property revenues	557	514	8
Franchise contributions for advertising and other services	363	352	3
Total revenues	$ 1,390	$ 1,221	14
G&A expenses	$ 231	$ 160	(45)
Operating Profit	$ 362	$ 423	(14)

Unit Count	3/31/2022	3/31/2021	% Increase (Decrease)
Franchise	46,433	43,301	7
Company-owned	1,062	817	30
Total	47,495	44,118	8

	Quarter ended	
	2022	2021
Same-store Sales Growth (Decline) %	3%	9%
System Sales Growth (Decline) %, reported	7%	14%
System Sales Growth (Decline) %, excluding FX	9%	10%

Taco Bell Securitization Entities:

The Securitization Transaction and the exclusion of the Taco Bell Securitization Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group and the Taco Bell Division of the Restricted Group in comparison to the corresponding data of YUM and the Taco Bell Division:

Units

- A total of 6,557 and 6,377 U.S. Taco Bell franchise units were excluded from the Restricted Group as of March 31, 2022 and 2021, respectively, as the Restricted Group no longer receives franchise fees from these restaurants.

Franchise and Property Revenues

- Franchise and property revenues of $157 million and $143 million were excluded from the Restricted Group for the quarters ended March 31, 2022 and 2021, respectively, due to the exclusion of the franchise fees paid by all

U.S. Taco Bell franchise restaurants as a result of the Securitization Transaction.

Company Restaurant Expenses

- The Restricted Group includes $12 million and $11 million of additional company restaurant expenses for the quarters ended March 31, 2022 and 2021, respectively, due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).

G&A Expenses

- Management fees of $18 million and $30 million for the quarters ended March 31, 2022 and 2021, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.

- Prior to August 19, 2021, on an annual basis, these management fees were equal to the sum of a base fee of $35 million (subject to 2% per annum escalation, compounded annually) plus 15.1% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year. Effective August 19, 2021, pursuant to a refinancing transaction completed by the Taco Bell Securitization Entities, these management fees, on an annual basis, are equal to the sum of a base fee of approximately $30 million (subject to 2% per annum escalation, compounded annually) plus 8.7% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. company stores and U.S. franchisees for the year.

Consequently, the overall operating margins of the Restricted Group are negatively impacted due to the exclusion of franchise and license fees from U.S. Taco Bell franchised restaurants and the Restricted Group's obligation to pay franchise fees on U.S. Taco Bell Company-owned restaurants to the Taco Bell Securitization Entities, with no corresponding reduction of Restricted Group expenses (other than a partial offset by the management fee paid to the Restricted Group by the Taco Bell Securitization Entities as reimbursement for a portion of G&A expenses).

Habit Burger Grill:

On March 18, 2020, YUM! Brands, Inc. completed the acquisition of all of the issued and outstanding common shares of The Habit Restaurants, Inc., which owns the restaurant concept The Habit Burger Grill. The Habit Entities were excluded from the Restricted Group until April 8, 2021, at which time the Habit Entities were contributed by YUM to the Restricted Group. The exclusion of the Habit Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group in comparison to the corresponding data of YUM.

- Company sales of $121 million were excluded from the Restricted Group for the quarter ended March 31, 2021.

- Franchise and property revenues of $1 million were excluded from the Restricted Group for the quarter ended March 31, 2021.

- Company restaurant expenses of $110 million were excluded from the Restricted Group for the quarter ended March 31, 2021.

- G&A expenses of $12 million were excluded from the Restricted Group for the quarter ended March 31, 2021.

- A total of 257 company units and 36 franchise units were excluded from the Restricted Group as of March 31, 2021.

Parent Entity Expenses:

Amounts transferred to or on behalf of Yum! Brands, Inc. as Parent Entity Expenses (as defined in the Indentures) or operating costs and expenses incurred in the ordinary course of business (as permitted by the Credit Agreement) are excluded from G&A expenses of the Restricted Group. G&A expenses of the Restricted Group were reduced for such costs by $4 million for each of the quarters ended March 31, 2022 and 2021.

Restricted Group - Taco Bell Division

The following table sets forth certain unaudited financial and operating data of the Taco Bell Division of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities from the Restricted Group.

(in millions)	Quarter ended			
			% B/(W)	
	2022	2021	Reported	Ex FX
System Sales	$ 395	$ 343	15	17
Same-Store Sales Growth %	8	4	N/A	N/A
Company sales	$ 214	$ 208	3	3
Franchise and property revenues	22	19	16	18
Franchise contributions for advertising and other services	124	118	5	5
Total revenues	$ 360	$ 345	5	5
G&A expenses	$ 18	$ 1	NM	NM
Franchise and property expenses	6	7	10	11
Franchise advertising and other services expense	123	116	(6)	(6)
Operating Profit	$ 34	$ 54	(37)	(37)

Unit Count	3/31/2022	3/31/2021	% Increase (Decrease)
Franchise	810	642	26
Company-owned	464	474	(2)
	1,274	1,116	14

Company Sales. The quarterly increase in Company sales was driven by company same-store sales growth of 5% and unit growth partially offset by refranchising.

G&A Expenses. The quarterly increase in G&A was driven by lower management fees paid by the Taco Bell Securitization Entities, higher headcount and salaries and higher professional fees.

Operating Profit. The quarterly decrease in Operating Profit was driven by higher G&A and higher restaurant operating costs partially offset by same-store sales growth and unit growth.

Additional Information Related to Restricted Group:

The Novel Coronavirus (COVID-19) Global Pandemic

In late 2019, a novel strain of coronavirus, COVID-19, was first detected and in March 2020, the World Health Organization declared COVID-19 a global pandemic. As a result of COVID-19, governmental authorities around the world implemented measures to reduce the spread of COVID-19, some of which remain in place today. These measures have included and in some instances continue to include restrictions on travel outside the home and other limitations on business and other activities as well as encouraging social distancing. As a result of COVID-19, we and our franchisees have experienced store closures and instances of reduced store-level operations, including reduced operating hours and dining-room closures. The impact on our sales in each of our markets has been dependent on the timing, severity and duration of the outbreak, measures implemented by government authorities to reduce the spread of COVID-19, as well as our reliance on dine-in sales in the market.

As we ended the first quarter of 2022, COVID-19 outbreaks and resulting government restrictions limiting mobility continued to impact sales in a few key markets, primarily in China. Excluding China, our YUM consolidated same-store sales growth was 6%, our KFC Division same-store sales growth was 10% and our Pizza Hut Division same-store sales growth was 2% for the quarter ended March 31, 2022.

The COVID-19 situation is ongoing, and its dynamic nature makes it difficult to forecast any impacts on the Company's results for the balance of 2022.

Refer to the Form 10-Q for the quarter ended March 31, 2022 for further discussion.